returns come from fairly simple models. Early on in this book I will present two basic strategies and show how even these highly simple models are able to explain a large part of CTA returns, and I then go on to refine these two strategies into one strategy that compares well with the big established futures funds. I present all the details of how this is done, enabling the reader to replicate the same strategies. These strategies are tradable with quite attractive return profiles just as they are, and I show in subsequent chapters how to improve upon them further. I will introduce more advanced concepts as well, such as how to exploit the unique futures effect of term structure and how to go about constructing counter-trend strategies.

And why would I go and tell you all of this? Wouldn't the spread of this knowledge cause all trend-following strategies to cease functioning, free money would be given to the unwashed masses instead of the secret guild of hedge-fund managers, and make the earth suddenly stop revolving and fling us all out into space? Well, there are many reasons quantitative traders give to justify their secrecy and keep the mystique up and a few of them are even valid, but in the case of trend-following futures, I don't see too much of a downside in letting others in on the game. The trend-following game is currently dominated by a group of massive funds with assets in the order of US$10–50 billion, which they leverage many times over to play futures all over the world. These fund managers know everything I've written in this book and plenty more. The idea that me writing this book may cause so many people to go into the trend-following futures business that their trades would somehow overshadow the big players and destroy the investment opportunities is a nice one for my ego, but not a very probable one. What I describe here is already done on a massive scale and if a few of my readers decide to go into this field, good for them, and I wish them the best of luck.

What we are talking about here are simply methods to locate medium- to long-term trends typically caused by real economic developments and to systematically make money from them over time. Having more people doing the same will hardly change the real economic behaviour of humankind that is ultimately behind the price action. One could of course argue that a significant increase in assets in this game could make the exact entries and exits more of a problem, causing big moves when the crowd enters or exits at the same time. That is a concern for sure, but not a major one. Overcoming these kinds of problems resides in the small details of the strategies and will have little impact over the long run.